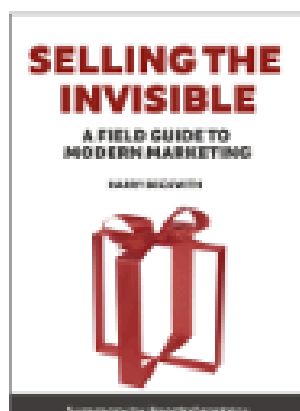




SELLING THE INVISIBLE

A Field Guide to Modern Marketing

by Harry Beckwith

The Big “So What” ??

Many companies, such as McDonalds, Federal Express, American Express, Levi's, are selling services, not products. Services are inherently more invisible than products, and call for a different sales and marketing approach. The book offers **more than 100 tips and insights** - for business owners, sales or marketing people - on how to sell services effectively.

Introduction



Services are more invisible and intangible than products. Unlike products - which you can touch, see, smell, and taste before purchasing - services (e.g. a haircut) must be purchased before customers get to experience it. It is also harder to put a warranty on a service.

Even if you sell a physical product (e.g. software or shoes), you are likely to be competing on service (through customization, delivery, support etc.). **Effective services marketing is more about how you think than what you do.**

Getting Started



Before you start marketing your service, **fix your service first.**



We tend to think we are better than we are - it is better to assume your service is bad, so you force yourself to improve.



Let your clients (not your industry/ego) set the standards. Don't benchmark within your industry; Benchmark against the best in class e.g. Disney.

KEY QUOTES

"Services are not products, and service marketing is not product marketing."

"This is not a how-to book...this is a how-to-think-about book."



If you're struggling to create a good ad for your service, it's a sign your service is weak and needs fixing.



Get the right focus:



Always start at zero. Don't focus on "how can we sell this better?" Instead, ask "is this still what the customers want?"



Sweat the small stuff - tiny actions can create massive impact (The Butterfly Effect).



Even with outstanding service, mistakes and defects can happen. When they do, these present huge opportunities to win customers over with your **service recovery**.



Don't just try to get better. **Focus on doing things differently.**



Understand the stages of service evolution - get to Stage 3:



Stage 1: Acceptable standards. Companies offer a product that meets the minimum standards, and customers purchase it because it is the only option available.



Stage 2: Differentiation. Competitors enter and differentiate themselves, with companies focusing on offering clients the desired products that meet their needs.



Stage 3: Making the Leap. Most service companies stay in stages 1-2. Stage 3 is where breakthroughs happen - companies make a leap by surprising the customer with the "possible service" that goes beyond customers' expressed needs & expectations.

Surveying & Research



Why survey? People won't tell you what you are doing wrong - not even your best friends. The only way to find out is to ask.



Third party surveys: People may not give you direct feedback, but they will talk behind your back. For more accurate results, get a third party to do your surveys.

KEY QUOTES

*"Don't just think better.
Think different."*

"Every service company must look at stage three; that is where glory, fame, and market share lie."

*"Create the possible services;
don't just create what
the market needs or wants.
Create what it would love."*

*"(A survey) tells you what business
you are in, and what people
really are buying."*



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 **Choose oral surveys over written ones.** They generally work better because:

- Words like “quality” mean different things to different people. Oral surveys allow you to clarify your questions and/or respondents’ answers, to **minimize interpretation errors**.
- People generally **say / share more** orally than in writing.
- **Better response rate:** Only 40% of people respond to a written survey while almost 100% will respond to an oral one.
- A good oral interviewer makes a **personal contact** with the customer on your behalf.
- The respondent’s voice can convey **important feelings** that written words won’t.

 **Phone vs in-person surveys:** People tend to reveal more over the phone than in-person, because they feel less exposed/more anonymous.

 **What to avoid:**

-  Asking the question “What don’t you like?”
-  Using focus groups: You are selling to individuals, so talk to people individually.

Marketing is not a department



 **Marketing is everyone’s business:** Everything that the company does is a marketing activity – from messages on the invoice to the receptionist answering a call. Make every employee and activity a part of your marketing efforts.

 **See the big picture**

- **Beware of marketing myopia** – don’t get so lost in daily tasks that you fail to see the broad scope of your businesses.
- **Get out there:** When people stay in their offices, they end up with a tunnel vision of what they see within the company. What they need to know (customers and prospects) are outside the office. Get out there, get in opportunity’s way, and let it hit you.

KEY QUOTES

“For a dozen reasons, conduct oral surveys, not written ones.”

*“You’re selling individually.
Talk to individuals.”*

*“Marketing is not a department.
It is your business...
Every act is a marketing act.
Make every employee
a marketing person.”*

*“The fastest, cheapest, and best
way to market your service is
through your employees.”*

*“Most executives are too busy
ducking falling trees
to see the forest.”*

- Ask "What am I good at?". When planning your marketing, think of your skills, not just what business you are in.



Services are about relationships

- **What business are you really in?** In the service industry, you're almost always selling a relationship or an experience, not a product or an expertise (e.g. Rolex isn't in the watch industry, it's in the luxury industry). What are your clients really buying?
- **Who is your client?** Before you try to satisfy the client, try to understand and satisfy him/her as a person. Know that people crave one thing above all else – appreciation.
- **Who is your competitor?** In services, your true competitors are often your potential customers, because they can choose to do things themselves, or do nothing at all.
- Success in service marketing is like surviving in high school – talent isn't enough; you must be likeable and popular. To win in the service industry, professionalism isn't enough. **You need to be personable.**



Adaptation & breakthrough

- **Go where others aren't.** Rather than fight head-on with competition, serve markets that competitors aren't serving.
- **Include technology in your marketing plan.**
 1. Have a technology director to identify new technologies that present risks and opportunities for your business.
 2. Ask if you are positioning yourself to be technologically second to none within your industry, across service industries (compared to firms of similar size), and 2 years from now? Are you using technology today to improve your service and grow your business?

Overcoming Planning Fallacies



You can't really predict the future (don't fool yourself), so **plan for several possible futures** instead.

KEY QUOTES

"Never mind what business you are in – what are you good at?"

"In large part, service marketing is a popularity contest."

"Service businesses are about relationships. Relationships are about feelings."

"Don't approach planning as a precise science. Planning is an imprecise art."



We don't always know what we want. You can get to your "desired destination", only to realize it's not what you really want. Hence:

- Accept the limitations of planning.
- Value planning for the process of thinking, not the results.
- Don't plan your future. Plan your people.



Strategy isn't king. Often, **tactics drive strategy** rather than the other way round. Start doing something/anything, so you can learn from it and shape your thinking/strategy.



Stop trying to build a better mousetrap. Perfect ideas don't work as well as imperfect ideas delivered passionately.



Inaction breeds more inaction: **keep moving** to succeed.



There's no perfect solution nor perfect timing. Implement a good idea now. **Don't procrastinate, don't wait.**



Good ideas often sound silly at first. **Encourage stupid ideas** – they are a healthy part of lateral thinking.



Any idea could fail. Don't kill an idea just because it may fail.



Most of the "truths" that we know about our business, our audience or our company may not be so. **Beware of the overconfidence bias** and be open to alternative truths.



Every situation is different, so an expert's experience may not always be "right". **Don't depend on experts for fail-safe answers.**



No research or "facts" can accurately calculate and predict human behaviour. **Don't rely on science & data** for decisions.



Focus groups tend to focus on today's needs. **Don't depend on focus groups** to generate ideas for tomorrow.



Common sense is useful, but doesn't create breakthrough ideas.



Our memories are inaccurate and incomplete. **Don't do your planning based on memory** / what you think you remember.



Our learning from experience comes from inference, and we tend to overgeneralize when we infer. **Don't trust everything that experience has taught you.**

KEY QUOTES

"Marginal tactics executed passionately almost always will outperform brilliant tactics executed marginally."

*"Today's good idea almost always will beat tomorrow's better one...
Do it now."*

"Too often, the path to perfection leads to procrastination."

"Start failing so you can start succeeding."

"There are no answers, only informed opinions."

"Common sense will only get you so far. For inspiring results, you'll need inspiration."

"Ideas do not follow the good thinking in an organization; ideas follow the power."



Being in a position of authority doesn't make you the best decision-maker. If you're in a position of power, **learn to listen**. If you're not, learn to **question authority**.



Companies who succeeded **start by believing** "it's possible".

How Prospects Think



People make **irrational, emotional buying decisions**. Don't appeal only to reason.



People **choose what is familiar**. It's better to be known badly than not be known - people tend to forget the (bad) attributes over time but remember the company. Get familiar to your prospects.



People tend to make decisions based on the most recent data. Get good at your follow up, and/or build on competitors' communications - say something stronger and more effective to secure the business. **Leverage on the Recency Effect**.



People don't usually evaluate all possible options to make the best choice. They just want to avoid making a bad choice. **Show that you are "good enough"** - present yourself as good choice, then eliminate all possible concerns that could make you a bad choice.



Remove the fear factor for clients by offering free trials, money-back guarantees etc. Start with a small project or a small slice that people can try out without worry.



People get anchored to their **first impressions** of you. Identify your first points of contact - the first things you say or the first way you position your service - polish these anchors. Make every other impression you make count. For example, when clients call you, how good is that first call?



Show your weaknesses alongside your strengths, as they make you more believable, honest and trust worthy.

KEY QUOTES

*"Familiarity breeds business.
Spread your word however
you can."*

*"People do not look to make the
superior choice; they want to
avoid making a bad choice."*

*"The best thing you can do for
a prospect is eliminate her fear.
Offer a trial period or
a test project."*

*"Rather than hide your
weaknesses, admit them...
Tell the truth. Even if it hurts,
it will help."*

- ⚖ People need to justify their decisions, and they look for even the smallest differences to do that. **Accentuate the trivial differences.**

Positioning & Focus



- 🎯 No 2 services are identical – identify or create the differences in your service. Focus on **ONE distinct thing** that will give you a competitive advantage, and position that in your prospect's mind.

- Have **1 simple message that sets you apart** from competitors.
- A strong focus rallies your troops, makes your word-of-mouth & elevator pitch more effective and aligns your messages.

🎯 The Halo Effect

- Standing for 1 thing doesn't mean you will lose all other appeal, because **people will associate that 1 thing with many other things.**
- Position yourself as the **expert at the hardest task** in your service. That special skill should imply you also possess other valuable skills, and position you strongly in other areas.

↪ Closing the gap between your position and positioning statement

- A position is different from a positioning statement:
 1. A position is where you are now in people's minds, based on what they see/ hear/ feel.
 2. A positioning statement is how you wish to be **perceived** (and what you communicate to influence perceptions). To establish a clear positioning statement, ask these 7 questions:
 - i. Who: Who are you?
 - ii. What: What business are you in?
 - iii. For whom: What people do you serve?
 - iv. What need: What are the special needs of those you serve?

KEY QUOTES

"You must sacrifice. You cannot be all things to all people."

"The more you say, the less people hear."

"To broaden your appeal, narrow your position."

"Say one positive thing, and you will become associated with many."

"If no prospect can describe your position, you do not have one."

- v. Against whom: With whom are you competing?
- vi. What's different: What makes you different from competitors?
- vii. So: What's the benefit? What unique benefit does a client derive from your service?

- You can't "position" yourself. You can only leverage your current position. To **close the gap** between your position and your positioning statement:
 1. **Keep the steps small** so customers can make the leap. Don't confuse your positioning statement with your (internal) BHAGs (Big Hairy Audacious Goals).
 2. **Repositioning your competitors**: Choose a position that will make your competitors look similar to one another (compared to you). Then, move back toward the middle to close the sale.
- **Positioning a small service**: Don't try to hide the fact that you are small. Focus on the advantages of being small, e.g. responsiveness and individual attention.

Pricing



Pricing is not necessarily logical – a lower price may make your product second-rate rather than great value.



Apply the resistance principle: If no one complains about your price, it's too low. If almost everyone complains, it's too high.



The low-cost trap: Low prices and good value are not in themselves a positioning – there are almost always a way to beat that price. Focus on improving your service instead.



A high or low price conveys a clear positioning. **Be careful about middle pricing**, because you are competing with almost everyone.



Don't charge by the hour. Charge for knowing the right buttons to press (and the cumulative time you took to develop these skills).

KEY QUOTES

"Don't start by positioning your service. Instead, leverage the position you have."

"In positioning, you have to jump from lily pad to nearby lily pad, one at a time."

"Setting your price is like setting a screw. A little resistance is a good sign."

Naming & Branding



A well-built brand has value.

- It makes selling easier, faster & cheaper: Word of mouth travels more easily, and inquiries are more likely to convert to sales.
- In our "microwave world" where people constantly seek shortcuts, brands are used as a tool for decision making.



Your name should carry **unique, specific, sensory information**:

- **Represent your product**, not a generic business category.
- Don't use words that describe what everyone already expects (e.g. "creative", "quality").
- The name should imply the service it's intended to serve, and should be **unique and sensory**.
- Use the "**Information-per-Inch Test**" to see how much valuable information you are packing into your name. Use colour effectively. Using "Federal Express" as a benchmark, look at what your name and colours are communicating.
- To speed up your brand-building efforts, **choose an "unconfusable" name**. Many of the big brands (e.g. McKinsey, Harvard, Nike) come with unique names that are not shared by other brands.



A brand acts like a promise and warranty of the service quality that the customer will receive. The best brands keep their promises.

Communicating and Selling



People are interested in themselves, not you. The most compelling sales message is one that **focuses on your prospects** – what they want, what they need, who they are.



People can only process **1 message at a time**. When you say too much, you communicate nothing. The fastest way to improve your sales force is to improve the message, not fix the people.

KEY QUOTES

"In service marketing, almost nothing beats a brand."

"Brands are decision-making shortcuts in a world of people like you looking for shortcuts... As time shrinks, the importance of brands increases."

"Building your brand doesn't take millions. It takes imagination."

"A service is a promise, and building a brand builds your promise...the heart of a service brand...is the integrity of the people behind it."

"Make the services visible, and make the prospect comfortable."

"Meet your market's very first need: Give it one good reason."

-  Say just 1 thing, then **repeat it** again and again.
-  Don't use adjectives. **Use stories.**
-  **Attack the stereotype** your prospect has about you.
-  **Don't say it; Prove it.** Use simple, specific, concrete examples. Create evidence of your service quality and communicate it.
-  Use **honesty**, not tricks or gimmicks.
-  Your proficiency isn't as important as the **long-term relationship** you offer.
-  You don't need to convey you are superior. You just need to convey you are **"positively good"**.
-  **People trust what they see**, not what you say. Watch what you show.
-  **Make the invisible visible.** Prospects look for visual clues about the service. Make your services visual so people see who you are. Repeat yourself visually.
-  Each visual cue you send forms the experience and the client's perception of quality. **Be intentional.**
-  To evaluate what someone says, people need to see the speaker. Your marketing needs to **have a human face.**
-  When selling something complex, **use a metaphor** to simplify it.
-  Use **generative words** that stimulates the imagination.
-  Avoid hype and clichés. Get to the point asap - **tell people in just 1 sentence** why they should buy from you.
-  **To get more publicity, do more advertising.** It gives you direct exposure, and creates perceived credibility for editors to want to cover your story.
-  To get editors to publicize you, **give them an interesting story** that their readers will want to read. There's always something interesting to share – look harder.
-  Make sure your service is **easy to buy** – make the offering and price clear, make it easy to sample and purchase.

KEY QUOTES

"To fix your messengers, fix your message."

"Prospects do not buy how good you are at what you do. They buy how good you are at who you are."

"People will trust their eyes far before they will ever trust your words."

"Service marketers must create the visual surroundings – from the parking lot to the last page of the proposal – that will enhance the client's perception of quality."

"Give your marketing a human face."

"Tell people – in a single compelling sentence – why they should buy from you instead of someone else."

 People want to be happy. **Hope always sells.**

 **Have a good mission statement.**

- Mission statements should be specific – they should draw a clear map and include a measurable objective.
- The mission statement must change behaviours in your company – if it doesn't, change the statement.
- Good mission statements are not meant to be part of marketing communications. Have a good statement that states your strategic goal, but keep it private.

Nurturing and Keeping Clients



 **Relationship accounting.** Most service firms start the relationship with their clients on a deficit – the client has taken a risk to engage the firm, and expects the services to be delivered. Manage your relationship balance sheet, and assume it is worse than it seems.

 **Manage your clients' expectations.** Don't raise expectations you cannot meet. Under-promise and over-deliver.

 **Show appreciation often.** Keep thanking. Make every client very happy every day.

 Most failures are obvious but successes are not. Make sure you **highlight your successes** and show your clients you have achieved.

 Unlike products, most services (e.g. dental services, accounting) are no longer visible once consumed. **Use advertisements** to remind clients that you are still around, and successfully satisfying other clients.

Other details to look out for in the book



The book covers more than 100 tips, each presented in 1-3 pages, with short, simple examples for most "chapters".

KEY QUOTES

"Write a mission statement, but keep it private."

"A customer's satisfaction is the gap between what the customer expects and what she gets."

"Don't expect the client to see how hard you have worked, how much you have cared, and how well you have performed. So often, the client is the last to know."

Although the book was written in 1997, many of the examples and ideas are still relevant today. Not all the tips will be relevant or helpful to your organization, but you will almost definitely be able to find useful insights or reminders that you can apply immediately.

About the Author of *Selling the Invisible*

Harry Beckwith is an author, lecturer, speaker and marketer. He is the founder of Beckwith Partners, a marketing and advertising company located in Minneapolis. He has advised several Fortune 500 companies, and many small and medium-sized service-oriented businesses.



Besides *Selling the Invisible*, he has also authored several books, including *What Clients Love*, *The Invisible Touch*, *You, Inc.*, and *Unthinking*. For more details, visit his website -www.beckwithpartners.com

KEY QUOTES
